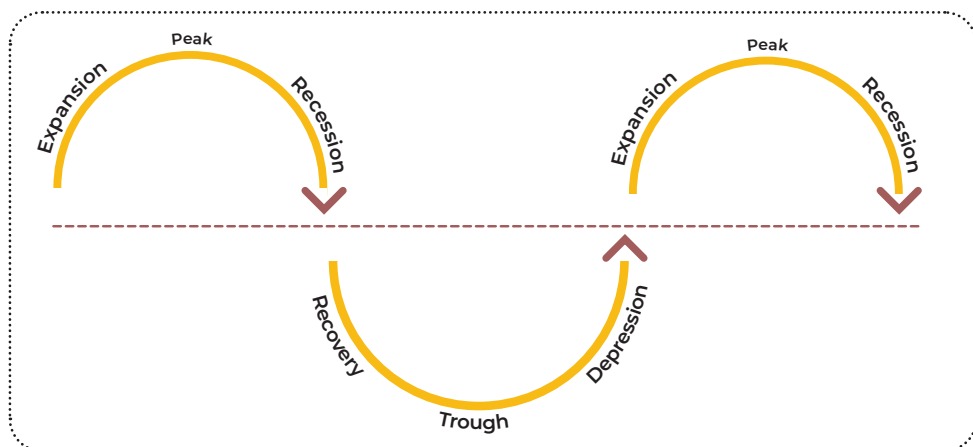


Government Regulations



Another factor that contributes to industry instability is the impact of government regulations. Government regulations can overnight take away the advantages of established players and create space for new firms to join the industry and rapidly gain market share. Constant regulatory changes cause firms to gain and lose market share quickly, thus making the industry unstable.

Business Cycle



The last contributing factor is the business cycle. This is particularly the case with commodity industries and industries with a relatively short business cycle. During periods of expansion of the industry, new players join the industry and existing ones increase capacity and gain market share. However, during periods of downturn, only the strong companies can survive whereas those with a stretched balance sheet fail to survive and are bought over by the existing firms. Thus, severe market share shifts occur over various stages of the business cycle.

Understanding industry stability is important for both the entrepreneur as well as the investor. It is easier to enter and gain market shares in volatile industries but difficult to maintain. Thus, the entrepreneur and investor must know the degree of stability in their industry as it will determine the longevity of returns for them. In other words, industry stability determines the balance between the pace of growth and longevity of returns.